STRATEGIC BUSINESS MANAGEMENT

Suggested Answers
Nov-Dec 2022

Answer to the Question# 1(a):

One of the models used to analyze the competitive environment in an industry with the aim of formulating strategies is the Porter's five forces model. This strategy is based on competition basis. Trying to gain more market share, competition is not only manifested in the actions of competitors, but competition in an industry is rooted in the principles of economic and competitive forces that are beyond the competitors.

1. Threat of New Entrant:

The first force, threat of new entrant, examines how easy or difficult it is for competitors to join the marketplace in the industry being examined. The easier it is for a competitor to join the marketplace, the greater the risk of a business's market share being depleted. It is not only incumbent rivals that pose a threat to firms in an industry; the possibility that new firms may enter the industry also affects competition.

Hence, it is observing that the world is moving for the electric vehicle as all the giant car manufacturer are going to invest a significant amount for battery manufacturing. All the car manufacturer already aimed for the carbon neutrality and aware of the improvement in air quality (temporarily during lockdown) due to the reduction of fossil-fuelled (particularly diesel) vehicles on our roads.

The threat of new entrants is **HIGH**, as the barrier of entry is **LOW**. Toyota's competitors are electric vehicle (EV) start-ups, fossil fuel-powered vehicles, and traditional auto giant companies switching to electric cars which are also going to invest significant amount to cover all over the world.

Toyota may increases the barrier of entry and lowers the threat of new entrance:

- Expand technology innovation to create differentiated products and offerings.
- Become the global leader in autonomous technology and application.
- Enhance manufacturing excellence to improve costs, reliability, and deliveries.

2. Threat of Substitute

The second force, threat of substitutes, is especially threatening when buyers can easily find substitute products with attractive prices or better quality and when buyers can switch from one product or service to another with little cost. This force studies how easy it is for consumers to switch from a business's product or service to that of a competitor. A close substitute product constrains the ability of firms in an industry to raise prices. The competition engendered by a Threat of Substitute comes from products outside the industry.

As a substitute product, Hydrogen is expected to be popularized as a renewable energy source. Other competitors will strive to reduce costs and realize a "hydrogen society" by expanding lineup of FCVs (Fuel Cell Electric Vehicle) and also by using FC (Fuel Cell) systems for a wide range of applications, including commercial trucks as well as both stationary and movable power sources.

The threat of substitutes is high. The big automakers have a solid customer base, and the start-ups saturate the markets. However, the critical source of competitive advantage for Toyota is brand loyalty.

Toyota lowers the threat of substitutes:

- Toyota is right on track to market its brand through smart marketing and loyalty program.
- Compete in the high-end market and charge premium pricing.
- Price competitiveness in low-end market
- Innovation of new technology

3. Buyer Power

The third force, power of buyer, refers to the bargaining ability of customers to control a producer's or supplier's profitability. This is driven by the:

- Number of buyers in the market;
- Importance of each individual buyer to the organization; and
- Cost to the buyer of switching from one supplier to another.

Buyers exert strong or high bargaining power when:

- Buying in large quantities or control many access points to the final customer,
- Only few buyers exist,
- Switching costs to others supplier are low,
- There are many substitutes, and buyers are price sensitive, when buyers have the ability to produce the same product or resources themselves instead of buying it from the suppliers, their power is also significant. Also, if buyers buy large volumes of products and are sensitive to lower prices their power is high.

Hence, Battery is highly important and key element of the car which need special expertise. It's quality and guarantee are important for the sustainable business.

The bargaining power of buyers is low, as Toyota's segments its products at the high-end market with premium pricing and low-end market with competitive price. Toyota may lower it's bargaining power of buyers:

- Diversify products in the popular segment, such as large SUVs.
- Provide an innovative subscription model than traditional leasing or financing.
- Expanding reliability and safety globally.
- Offering unique services that cannot be replicated by other competitors.

4. Supplier Power

The fourth force, supplier power, is an assessment of how easy it is for suppliers to drive up prices. This is driven by the:

- Number of suppliers of each essential input;
- Uniqueness of their product or service;
- Relative size and strength of the supplier; and
- Cost of switching from one supplier to another.

Strong bargaining power allows suppliers to sell higher priced or low quality raw materials to their buyers. This directly affects the buying firms' profits because it has to pay more for materials. Suppliers have strong bargaining power when; there are few suppliers but many buyers, suppliers are large and threaten to forward integrate, few substitute raw materials exist, suppliers hold scarce resources, and cost of switching raw materials is especially high.

The bargaining power of suppliers is high due to a limited supply chain network. The battery for electric vehicle industry is relatively new and in the development stage. Toyota lowers the bargaining power of suppliers:

- Shorten supply chain network by constructing Gigafactories across the globe.
- Diversify suppliers to avoid shortages and production delays.
- Leverage technology to lower the bargaining power of suppliers.
- Develop vertical integration to enhance cost leadership and manufacturing capabilities.

5. Rivalry

The fifth force concludes with the competitive rivalry which describes how the other four powers interrelate and shape the structure of competition within an industry. Putting together the impact of these forces, the level of competition as well as the profit potential and overall attractiveness and performance of an industry is determined. There are certain factors by which competitive rivalry is directly affected. If competing organizations are of approximately the same size, competitor balance will be such that rivalry will be intense. When industry growth rate is low, rivalry is likely to be intense. The existence of high fixed costs to operate in the industry and high exit barriers if a firm wishes to leave the industry will also trigger high rivalry.

The industry rivalry among competitors is intense, from start-ups, traditional automakers, and big automotive brands switching to electric. The competitors use pricing and differentiation strategies, restricting Toyota's market penetration and profitability growth.

The volatility of oil prices, geopolitics, and government policy changes negatively impact the attractiveness of electric vehicles. The issues of reliability, battery life, lack of infrastructure, and chip shortage are still the

industry-wide issue that makes electric vehicle challenging to compete with internal combustion engine vehicle.

Toyota lowers the intensive of the industry and competition:

- Differentiation in the product, place, price, and promotion is a key source of competitive advantage in an intense industry.
- Innovation, integrated services, durability, available spare parts, competitive price and running costs are the building blocks of Toyota's competitive advantage.
- Supply chain, vertical integration, and continuous improvement will lower the unit cost to increase profitability.
- A strong social media presence will enhance the brand value and adoption.

Answer to the Question# 1(b):

Government cannot compete, only firms can do that. Government can influence the context in which an industry operates and can create opportunities and pressures for innovation. It must also be remembered that the creation of competitive advantage can take many years.

i) Factors of production provide the seed corn. A large endowment of easily mined iron ore would suggest metal-working industries. Porter distinguishes factors as basic and advanced, where basic factors (natural resources, climate, semi-skilled and unskilled labor) are identified as unsustainable as a source of national competitive advantage since they are widely available. As opposed to that, advanced factors (modern digital communications infrastructure, highly educated people – computer scientists, university research laboratories) are necessary to achieve high order competitive advantages such as differentiated products and proprietary production technology.

   An abundance of factors is not enough. It is the efficiency with which they are deployed those matters.

ii) Related and supporting industries can also be a foundation if the competence within them can be configured in a new way. A nation's competitive industries tend to be clustered. Porter states clustering to be a key to national competitive advantage. A cluster is a linking of industries through relationships which are either vertical (buyer-supplier) or horizontal (common customers, technology, skills. Therefore, an individual firm will be more likely to succeed internationally when there is supporting cluster. Firms should be prepared to invest in cooperative ventures in fields such as training, infrastructure, and research.

iii) Government strategy and policy should support cluster development and promote high standards of education, research, and commercially relevant technologies. Nations are likely to display competitive advantage in industries that culturally suited to their management practices and industrial structures. For example, German managers tend to have a strong bias towards engineering that are best at products demanding careful development and complex manufacturing process.

   Further, industries in different countries have different time horizons, funding needs and so forth. National capital markets set different goals for performance while national attitudes to wealth also play an important role in industry-wide wealth creation.

   Porter's model combines the traditional country-level theories with firm-level theories that focus on the actions of individual companies. He concludes the role that nation's play in creating an environment may or may not be conducive to a firm's success.

iv) Extraordinary demands in the home market based on national peculiarities and conditions can set the demand conditions determined in the diamond of competitive advantage. This refers to existence of a large, sophisticated domestic consumer base that stimulates the development and distribution of innovative products. The domestic market determines how firms perceive, interpret and respond to buyer needs. This information puts pressure on firms to innovate and provide a launch pad for global ambition.

   A county needs to have no cultural impediments to communications, home market segmentation that shape's firm's priorities will be successful globally in segments which are similar to the home market, sophisticated and demanding buyers set standards in the market, anticipation of buyer needs earlier than the world market are some of the attributes a country need to work on to gain nationally the competitive advantage.

Answer to the Question# 2(a):

The combination of a global technology powerhouse, Siemens AG, and a leader in digital transformation, ATOS, provides the special mix of capabilities required at the meeting point of information technology and operational technology. Atos to deliver digital, integrated and cybersecurity solutions to support Siemens digital strategic objectives. Siemens-Atos Global Alliance will pursue joint go-to-market growth opportunities that will leverage the existing €330 million common digital investments and will significantly support the digital growth ambitions laid out by each company. Atos-Siemens Global Alliance has following 4 pillars with the scope of market in the arena of Automotive, Pharmaceuticals, Chemicals, Food & Beverage, Airports, Hospitals, Digital Grid, Safe Office, and Digital workplace

i) Trusted and long-standing partnership
ii) Enabling the Digital Enterprise
iii) Human-Centricity and Sustainability
iv) Joint Technology Research

Atos and Siemens are part of many biggest project in the world with promise to achieve breakthroughs, discoveries, and world-firsts by taking great ideas from the lab to the market, especially in the field of digitalization.

1. **Forming economies of scale:** Strategic alliance can generate economies of scale that will enable the participating companies to marshal a broad set of resources and achieve the critical mass needed for international success. Companies with complementary skills can rely on each other's proven expertise instead of spending time and resources to independently develop what has already been achieved.

   Atos and Siemens are part of many biggest project in the world with promise to achieve breakthroughs, discoveries, and world-firsts by taking great ideas from the lab to the market, especially in the field of digitalization. Fourteen projects are currently under way.

2. **Enhancing competitiveness:** Many international trade projects require expertise from different fields. Traditionally, companies have tried to develop or maintain all the required skills in-house. However, as technological and administrative complexity increases, companies are learning that they cannot do everything by themselves. As a result, the most competitive corporations are adopting a strategy of maintaining their core competencies only.

   Their world-renowned partnership has allowed customers to benefit from the unique value proposition of a global leader in digital transformation and a global technology powerhouse to even better shape their digital future. Major technology breakthroughs have been achieved for both groups in IoT, Machine Learning, Cybersecurity, AR/VR, Edge computing, and materialized into an end-to-end joint digital solutions and services portfolio.

   Dividing global business risks: Risk sharing through partnering is most often seen in research and development areas. Research and development costs are always increasing and the speed of innovation means that products rapidly become outdated and the risks of investing in developing new products are high.
   Partnering can be used to share risk in other areas as well. For example, companies can share Power and technology systems, which saves money and enables faster delivery of the technological innovation. Joint marketing is another way of spreading risk and increasing returns. It is now extremely common for film producers, book publishers, toy manufacturers and fast food outlet owners to co-operate in parallel promotional campaigns that spread the risk involved in new ventures, reinforce each other and maximize returns to each of the participants.

3. **Setting new standards:** Siemens and Atos, jointly, replaced the legacy system of Spanish utility company, Repsol Electricidal & Gas, with a new standardized yet customizable system. Siemens provided the modern application and Atos executed the systems integration. Now Repsol Electricidal & Gas has one integrated meter data-management system with an open, modular architecture, fit for the future and with significantly lower internal costs.

Siemens and Atos have joined forces to improve blockchain delivery for customers by creating a set of generic re-usable blockchain components. Unique approach provides customers with tested interoperability, improved quality, speed, efficiency, and sustainability in solution delivery.

Atos and Siemens manage more than 130 million smart meters worldwide.

4. **Entering new foreign markets:** Strategic global business alliances are effective ways of entering new foreign markets. Partners can provide established marketing and distribution systems, as well as knowledge of the markets they serve, ensuring that products get to market faster and are more likely to be purchased.
   Atos and Siemens are part of Horizon Europe. , support the UK Government's New Hospitals Program. Atos and Siemens solutions can jointly leverage for Digital hospital services, Cybersecurity in healthcare, digital twin for pharma and many new scopes all over the world.

5. **Overcoming competition:** Companies often co-operate in marketing or distribution to overcome competition. A well-conceived alliance can mean a head start in a market, possibly even preventing other competitors from entering.
   - Achieve cost savings, energy efficiency, waste reduction and higher staff productivity.
   - The cooperation of Atos and Siemens is crucial in providing hospitals highly integrated systems and help to identify a set of technologies that digitally advanced hospitals should consider implementing

Answer to the Question# 2(b):

Strategic alliances are not easy to execute. A successful strategic alliance requires thoughtful decision-making, purposeful planning, and sincere collaboration. At the same time, these relationships can be very fruitful with the right match and proper execution. There are some reasons which lead to failure of strategic alliance:

Lack of a Shared Vision or objective: Clarity of objectives desired by all parties in an alliance is a must. They should also have equitable benefits to all sides in order to make them appealing. Lopsided goals lead to dysfunctional alliances. Inherent to a partnership is a shared goal or commitment that will benefit both parties. Making sure the partners start on the same page—and stay there—takes upfront and honest communication (and lots of it) in the partnership's infancy and throughout. All too often there is a disconnect in expectations or understanding that will undercut the benefits to both parties and eventually undermine the alliance.

During the alliance formidable building stage, all companies involved need to create a Conditions of Success document.

Over- or Under-Investing: Strategic alliances can be formed at different levels of collaboration, and the investment of time and resources has to match the potential benefit.

We invest in things when it's "worth it" to us, and when we have the resources to do so. A person won't exercise four times a week unless the benefits of feeling and looking healthy outweigh the effort. Even if you just know a certain stock is going to go up, you can't buy it if you don't have the funds.

Poor Governance: Let's say you pick a good strategic partner and properly evaluate the needed investment—now you need to execute! Set clear expectations, meet as much as you need to, track your progress. If you're investing resources into this alliance, make sure to also invest in managing the process. This older post gives four guidelines for successful governance.

Lack of Trust: When you strategic partner with another company, trust needs to be established and practiced at an appropriate level for the collaboration—and it needs to be balanced in that both companies share as needed.

Lack of Adaptability: Circumstances change and sometimes your partnership needs to change too. A common example of this is when partners become competitors.

Answer to the Question# 3(a):

Rationale for hedging policy

Within the framework of Modigliani and Miller, BMDC Ltd. CEO is correct in stating that a company's hedging policy is irrelevant. In a world without transaction or agency costs, and where markets are efficient

and information symmetrical, hedging creates no value if shareholders are well diversified. Shareholder value may even be destroyed if the costs associated with hedging exceed the benefits.

However, in the real world where market imperfections exist, including the transaction costs of bankruptcy and other types of financial distress, hedging protects shareholder value by avoiding the distress costs associated with potentially devastating foreign exchange fluctuations.

Active hedging may also benefit debt-holders by reducing the agency costs of debt. A clearly defined hedging policy acts as a signalling tool between shareholders and debt-holders. In this sense, hedging allows for higher leverage and a lower cost of debt and reduces the need for restrictive covenants.

Communication of policy with stakeholders
Even when foreign exchange risks are hedged, the funding of variation margin payments on exchange traded futures can create financial distress. A well communicated hedging strategy allows debt providers to make informed decisions about BMDC Ltd. ability to service its debt.

Agency costs and the risk of financial distress also impact the expected wealth of employees who, unlike shareholders, may not enjoy the risk reduction benefits of a diversified portfolio. A consistent hedging policy reduces the risks faced by employees which may serve to benefit BMDC Co in the form of motivational and productivity improvements.

Customers and suppliers have claims on a company which create shareholder value but are conditional upon BMDC Ltd. survival. Suppliers may invest in production systems which create value in the form of lower costs. For customers, these claims reflect promises of quality and after-sales service levels which enable BMDC Co to charge higher prices. In both cases, shareholder value is created as long as the customers and suppliers believe these claims will be honoured. One way of achieving this is by implementing a hedging strategy and communicating it to stakeholders.

In conclusion, management should attempt to communicate the principles underlying its hedging strategy and the benefits to shareholder value in the form of reduced agency and distress costs. In this way, stakeholders can make informed decisions about the potential risks and impact on their expected wealth.

Answer to the Question# 3(b):

Forward contract

$18,600,000 x 0·8729 = Euro16,235,940

Futures
Buy September Euro futures
Calculation of futures price
Spot rate (US$/Euro1) = 1/0·8707 = 1·1485
Predicted futures using spot rate = 1·1422 + ((1·1485 – 1·1422) x 1/7) = 1·1431
Or using futures: 1·1422 + ((1·1449 – 1·1422) x 1/3)) = 1·1431

Number of contracts
Expected receipt = $18,600,000/1·1431 = Euro16,271,542
Number of contracts = Euro16,271,542/Euro200,000 = 81·4, say 81 contracts
Amount underhedged = $18,600,000 – (81 x Euro200,000 x 1·1431$/Euro) = $81,780
Receipt at forward rate = $81,780 x 0·8729Euro/$ = Euro71,386

Outcome

	Euro
Futures (81 x 200,000)	16,200,000
Forward market	71,386
	16,271,386

Options
September Euro call options
Number of contracts
Payment = $18,600,000/1·1420$/Euro = Euro16,287,215
Number of contracts = Euro16,287,215/Euro200,000 = 81·4, say 81 contracts
Premium
Premium = 81 x Euro200,000 x 0·0077$/Euro = $124,740
Translate at spot = $124,740 x 0·8711Euro/$ = Euro108,661

Options
September Euro call options
Number of contracts
Payment = $18,600,000/1·1420$/Euro = Euro16,287,215
Number of contracts = Euro16,287,215/Euro200,000 = 81·4, say 81 contracts

Premium
Premium = 81 x Euro200,000 x 0·0077$/Euro = $124,740
Translate at spot = $124,740 x 0·8711Euro/$ = Euro108,661
Amount underhedged = $18,600,000 – (81 x Euro200,000 x 1·1420$/Euro) = $99,600
Receipt at forward rate = $99,600 x 0·8729Euro/$ = Euro86,941

Outcome

	Euro
Options (81 x Euro200,000)	16,200,000
Premium	(108,661)
Forward market	86,941
	16,178,280

Recommendation
The forward and futures contracts fix the exchange rate with the futures contract generating a slightly higher euro receipt compared to the forward. However, the futures contract is exposed to basis risk and is marked-to-market daily. The initial margin and variation margins need to be funded and would impact cash flow in the short term.

The option outcome of Euro16,178,280 provides a worst-case scenario based on the option being exercised. The option premium is expensive which results in a lower receipt if the option is exercised. Unlike the forward and futures contracts, however, the option allows BMDC Ltd. to retain the upside whilst also protecting against the downside risk. Based on the forward and futures markets, the dollar is expected to strengthen and it is therefore unlikely the option would be exercised.

The final hedging choice depends on the board's attitude to risk. However, assuming there is no default risk associated with the forward contract, this may be the best choice under the circumstances. The board may also wish to consider the possibility of not hedging since the dollar is expected to strengthen.

Answer to the Question# 3(c):

Marking-to-market

Initial margin = maintenance margin = $3,500 x 81 = $283,500

1 March:

((1·1410 – 1·1422)/0·0001) x $20 x 81 = $19,440 loss
Maintenance margin is 100% of initial margin:
Therefore variation margin = $19,440

2 March:

((1·1418 – 1·1410)/0·0001) x $20 x 81 = $12,960 profit

3 March:

((1·1433 – 1·1418)/0·0001) x $20 x 81 = $24,300 profit

In order to reduce counter-party risk, BMDC Ltd. deposits the initial margin of $283,500 with the clearing house when the
futures position is opened. The notional profit or loss at each day's closing settlement price is added to or subtracted from the margin account balance. If the margin account balance falls below the level of the maintenance margin, BMDC Co is required to deposit additional funds to top up the margin account.

BMDC Co makes a notional loss at the end of the first day and would therefore pay a variation margin to return the margin account to the level of the specified maintenance margin. Since BMDC Co makes a notional profit on the subsequent two days, the amount in the margin account will be greater than the specified maintenance margin and no variation margin is required. The profit on each of those days may be withdrawn in cash.

Answer to the Question# 4(a) (i):

Horizontal take-over
- Economies of scale
  The major justification put forward to explain horizontal mergers center on the fact that the merging companies are in the same industry and so are likely to benefit from economies of scale. They may also benefit from synergy between operations as well.
- Breaking entry barriers Horizontal mergers can also be justified as a way of breaking into new geographical markets.
- Obtaining Monopoly Power
  Market share can also be a viable reason, so that companies can earn monopoly profits, but the bidder must beware of referral to the Competition Commission.
- Enhanced Shareholder value
  There may be financial economies and tax benefits from mergers, but increasing EPS is not a valid justification.

Answer to the Question# 4(a) (ii):

Vertical backward and forward take-overs
- Control of Raw Materials

Here the major justification is that a company can either secure control of vital raw material or guarantee an outlet for and control the distribution of its product.
- Control of Distribution Channels

This helps companies to reduce the power of suppliers or to decrease the revenue lost to distributors. Economies of scale or synergy are less likely to occur than with horizontal take-overs.

Answer to the Question# 4(a) (iii):

It is very difficult to see the rationale for conglomerate take-overs, as there will be few economies of scale or synergy due to the unrelated nature of the merging businesses. The take-over cannot be justified from the point of view of risk reduction, as shareholders are likely to hold diversified portfolios. Nor can the take-over be justified as the acquisition of a bargain, since if capital markets are efficient; the target's share price will reflect its true value.

Answer to the Question# 4(b):

- Power's market value, using its P/E ratio and earnings, is 5.8m x 10 = 58m
- The earnings of Summit Ltd will be (10m + 5.8m) x 1.08 =17.06m
- Using a P/E ratio of 9, the value of Sumpower is 17.06m x 9 = 153.54m
- The 10m shares of Power will be swapped for 30m Summit shares, making 70m shares in the new company in total. Therefore, the wealth of Power's shareholders will now be 153.54m x (30m/70m) = 65.8m.
- Power's shareholders are 7.8m better off.

Answer to the Question# 5(a):

Constraints on relevance and faithful representation of financial statements.

Timeliness

If there is undue delay in the reporting of information, it may lose its relevance. However, to provide information on timely basis it may often be necessary to report before all aspects of a transaction or other event is known, thus impairing reliability. In achieving a balance between relevance and reliability, the overriding consideration is how best to satisfy the economic decision-making needs of users.

Balance between benefit and cost

The benefits derived from information should exceed the cost of providing it. Thus, relevant information may be excluded where the cost of providing it far outweigh the benefits to be derived from the information. The evaluation of benefits and costs is, however, substantially a judgmental and complex process.

Balance between qualitative characteristics

In practice, a balancing, or trade-off, between qualitative characteristics is often necessary. Generally, the aim is to achieve an appropriate balance among the characteristics to meet the objective of financial statements. The relative importance of the characteristics in different cases is a matter of professional judgment

Answer to the Question# 5(b) (i):

Importance:

Internal Benefits

- ⇨ Increased understanding of risks and opportunities
- ⇨ Emphasizing the link between financial and non-financial performance
- ⇨ Influencing long-term management strategy and policy, and business plans
- ⇨ Streamlining processes, reducing costs and improving efficiency
- ⇨ Benchmarking and assessing ESG performance with respect to laws, norms, codes, performance standards, and voluntary initiatives
- ⇨ Avoiding being implicated in publicized environmental, social and governance failures
- ⇨ Comparing performance internally, and between organizations and sectors

External Benefits

- ⇨ Improving reputation, brand awareness and loyalty
- ⇨ Company leaders who regularly publish a report on ESG development, can receive feedback on the programs and activities they reported on in the past period via the report
- ⇨ Mitigating negative ESG impacts
- ⇨ Enabling external stakeholders to understand the company's true value
- ⇨ Demonstrating how the company influences, and is influenced by, expectations about sustainable development
- ⇨ Investors monitor the values and trends of non-financial indicators to receive an overall picture of the company's future performance
- ⇨ Journalists can find inspiration for their articles in the report and often promote the company's reputation by expanding the topics
- ⇨ Many credit rating agencies incorporate ESG factors into their methodology.

Answer to the Question# 5(b) (ii):

SDGs are global goals set out by the United Nations, whereas ESG is a rating system used by companies to measure their environmental and social credentials.

To invest effectively and responsibly, investors need ESG reports as these reports allow them to review reliable, accurate, comparable, and timely data. An ESG report discloses environmental, social, and corporate governance data using specific criteria, with the aim of exposing an entity's risk profile to investors.

Environmental data is trickier to report as metrics are much more complex. New regulations are being developed in this field and with that, reporting standards may improve.

Social issues incorporate employee wellbeing, labor relations, and workplace health and safety. Companies have been slow to provide reliable and comparable data on social issues.

Governance reporting is generally provided in an organization's annual report. It's standard for companies to provide a copy of their governance procedures and codes of ethics.

Answer to the Question# 5(c):

Development of integrated reporting

The reporting of corporate responsibility activities has developed substantially over the past 10–20 years. It first emerged as social and environmental reporting whereby companies disclose the impact of their operations, both positive and negative, on the community and environment in which they operate. Typical social disclosures might include details of community support programs, charitable fundraising activities and educational and social programs for employees. Typical environmental disclosures might include activities to reduce levels of emissions, recycling programs and pollution controls.

More recently, these types of basic social and environmental disclosures have developed into sustainability reporting. This form of reporting particularly focuses on the issue of sustainable development and whether the operations of an organization are sustainable into the future. The ability of an organization's performance to be sustainable into the future is said to be based on its economic, environmental, social and governance performance. For example, to be sustainable, accompany must limit its use of non-renewable energy sources (an environmental issue); it must also treat its staff well and reward them adequately to ensure their continued support (economic and social issues). Therefore, sustainability reporting discloses environmental and social issues but also expands disclosure to integrate the economic impact of a company, for example through wages, taxes and purchasing policy, and governance i.e., how the company is run.

Integrated reporting develops the concept of sustainability reporting further by linking sustainability issues to financial strategy and results, sometimes referred to as 'triple bottom line' or PPP reporting ('Profit, Planet and People'). This form of reporting is based on the idea that companies that achieve success in the future will be those that have an integrated strategy that achieves financial results whilst also creating lasting value for the company itself, its stakeholders, and the wider society

Answer to the Question# 6(a):

The Financial Reporting Council (FRC), an independent government regulatory body under the Financial Reporting Act (FRA) 2015. It is an organization under the aegis of the Ministry of Finance. The FRC will regulate accounting, reporting, auditing and actuarial professions in Bangladesh. The operating arms of the FRC would be the Standards Setting Division, Financial Reports Monitoring Division, Audit Practice Review Division and Enforcement Division.

As per Financial Reporting Act 2015, Section 30, there are some restriction for using and disclosing the information for personal issue. But the information can be disclosed in terms of the benefit of the general people.

Hence, it is mentioned that the information has been used and disclosed in the Whatsapp group or Facebook group which deems not for the general use of the people. In such case, ICAB should discuss with the Chairman of the FRC to stop the immature attitude which may intentional or unintentional. If there are any issue arise, FRC as a regulatory body can call the company or ask to ICAB as per law instead of criticizing in the social group.

Answer to the Question# 6(b):

Despite the unusual circumstances, auditors must comply the audit procedures, whilst considering how the war impacts between Russia and Ukraine.

It is important that auditor carefully consider the unique circumstances and risk exposures when planning the audit and following matters should be considered:

1. **Risk assessment** –The auditor's risk assessment will need to reflect changes within the audited entity's business and operating environment and whether there are any new risks, significant or otherwise disruption that may impact the ability to continue as a going concern; additional disclosures

required on the impact of the war, and changes to forecasts, future plans, or even business model or strategy. The situation may also impact on the auditor's conduct of audit work, when accumulating sufficient appropriate audit evidence.

2. **Non-compliance with laws and regulation -** Auditors will need to be vigilant and maintain regular communication with management in order to monitor Non-compliance with laws and regulation up to the signing of the auditor's report.
3. **Money laundering -** Enabling compliance with anti-money-laundering regulations is an important role for auditors that has become more challenging in recent situation.
4. **Going concern -** Management of entities affected by the crisis, including those with operations in Ukraine, will need to evaluate the impact on the going concern assessment and revisit this as necessary. The auditor, correspondingly, will need to demonstrate professional skepticism and judgment when auditing going concern, to consider whether management has taken all relevant factors into account. These factors are likely to include:

    - Financing and funding
    - Companies that have put a stop on sales to the Russian market as 55% sales in Russia market
    - Business disruption, including supply chain issues
    - Insurance cover of assets
    - Currency valuation
    - Investments in Russian entities
    - Supply chain disruption

5. **Impairment of Russian assets -** Auditors will need to review management's assessment of impairment indicators for the asset amounting BDT 200 Million.
6. **IT Audit-** In details IT audit is required to check the possibility for cyber attack or any kind of disruption due to the war
7. **Post balance sheet events -** Auditors will need to ensure that management's disclosures around any material non-adjusting event, and related estimates of its financial effect, are appropriately disclosed in the notes to the financial statements.
8. **Audit Opinion -** In situations where the auditor is required to report on a material uncertainty related to going concern, or is required to modify the audit opinion, such as a limitation on the scope of the audit.

Answer to the Question# 6(c) (i):

Safeguards are actions or other measures that may are designed to eliminate threats or reduce them to an acceptable level. Safeguards are actions, individually or in combination, that the professional accountant takes that effectively reduce threats to compliance with the fundamental principles to an acceptable level. Followings are the fundamental principles that are more prominent for the safeguard:

1. **Integrity:** A professional accountant behave should with integrity in all professional and business relationships. Integrity implies not merely honesty but fair dealing and truthfulness. A professional accountant's advice and work must be uncorrupted by the self-interest and not be influenced by the interests of other parties.

2. **Objectivity:** A professional accountant should strive for objectivity in all professional and business judgements. Objectivity is the state of mind which has regard to all considerations relevant to the task in hand but no other.

3. **Professional competence and due care:** A professional accountant should carry out his professional work with professional competence, due skill, due care, diligence and expedition and with proper technical and professional standards.

4. **Confidentiality** – To respect the confidentiality of information acquired as a result of professional and business relationships.
5. **Professional behavior:** To comply with the relevant laws and regulations and avoid any conduct that the professional accountant knows or should know might discredit the profession

Answer to the Question# 6(c) (ii):

Being a professional accountant, professional behavior is important to know the real fact whether behavior is deemed acceptable in the context under consideration. In short, it is 'doing the right thing'. At first, identify the relevant fact and address to the Board of Directors' based of fundamental principle that is integrity, objectivity, professional due care and behavior with following the confidentiality.

Identify relevant facts:

- ⇨ Company gained the market share 40% which is very good growth of the company.
- ⇨ Per unit sales price increased BDT 50 but costs increase BDT 26 as a result, per units operating profit increased BDT 24 and % of operating profit increased from 20% to 25%.

Ingredients	Standard%	1 liter breakdown		
		Previous costs	New costs	Diff.
Base oil	78%	180	197	17
Viscosity – (viscosity improvement additive to improve flow)	13%	80	85	5
Detergent	2%	20	21	1
Dispersant	4%	40	42	2
Wear protection	1%	10	10	0
Other components	2%	20	21	1
Total costs		**350**	**376**	**26**
% of Operating profit		20%	25%	
Operating Profit		70	94	24

- ⇨ Price increase around 12% but other competitors increased their price 15%.
- ⇨ Considering the increase of FX rate and raw material price, estimated costs per liter supposed to be BDT 396 but actual BDT 376 and there is gap BDT 19.5.

Ingredients	Standard%	1 liter breakdown			
		Previous costs	Estimated New Costs (FX and RM impact)	Actual New costs	Diff. Estimated new costs vs actual costs
Base oil	78%	180	189	197	8
Viscosity – (viscosity improvement additive to improve flow)	13%	80	112	85	-27
Detergent	2%	20	21	21	0
Dispersant	4%	40	42	42	0
Wear protection	1%	10	10.5	10	-0.5
Other components	2%	20	21	21	0
Total costs		**350**	**396**	**376**	-19.5

- ⇨ Viscosity, or the thickness of the oil, is important because it determines the lubricant's film strength and efficiency in preventing friction between moving parts. Thick oil has a high viscosity, and thin oil has a low viscosity.
- ⇨ Hence, it is observed that % of viscosity is reduced from standard 13% to actual 9.87% as a result, costs are reduced BDT 27. On the other hand Base oil increased from 78% to 81.03% and costs increased BDT 8. As a result, BDT 19 save which increased the profit.

Address to the Board of Directors': Being a professional accountant with following the fundamental principles, immediately report with analysis to the Board of the director that the company is making profit, but it will not be sustained if company do not maintain the quality. Reasonable price and highest quality are important for the sustainable business. Hence, the company is not following standard % of ingredients and saving the costs of viscosity so that company is not increasing price compare to the competitor as well as making more profit and gaining the market share.

Once, the customer or competitor will know the real fact then it will be very difficult to regain the company reputation and brand value.

As part of the fundamental principles, strongly suggest to the management or the Board of the Directors to discuss with the production team, Sales team, Market Quality team and follow the standard % of ingredients as developed by the R & D team for the sustainable business. Also, analysis the root cause who made this decision. If it is related to get more variable bonus, Board of Directors' should take immediate countermeasure and disciplinary action.

Answer to the Question# 6(d):

Nirman Ltd needs a significant injection of capital in order to finance a capital-intensive project and the NCB requires the company to demonstrate good projected statement of cash flow and profitability.

However, the projected statement of cash flow does not satisfy the bank's criteria and the directors have told the bank that the financial results will meet the criteria. Thus, there is pressure on the chief accountant to forward a financial report which meets NCB's criteria.

The chief accountant cannot afford to lose her job because of her financial commitments and family concerns, and this in itself creates an ethical dilemma for the accountant, as not only is there self-interest of the accountant involved but also the interests of the company and its workforce.

The accountant has to rely upon her moral and ethical judgement in these circumstances she finds herself in.

Ethical standards are used by members of a profession to decide the right course of action in given circumstances.

Ethics rely on logical and rational reasoning to reach a decision; morals are a behavioral code of conduct to which an individual ascribes, and ethical rules create an obligation to undertake a particular course of action.

Conflict can arise between personal and ethical values but when an individual becomes a member of a profession, there is recognition that there is acceptance of the standards of that profession which include its code of ethics and values. The ethical rules of the accounting profession represent an attempt to codify principles. A profession is distinguished by having a specialized body of knowledge, a social commitment, the ability to regulate itself and high social status.

The profession should seek to promote or preserve public interest. Professional accountants make a bargain with society in which they promise to serve the public interest which may, at times, be at their own expense. Accountants, as professionals, cannot rely exclusively on rules to define how they will act ethically. Members of the profession have a responsibility to present the truth in a fair and honest fashion and in a spirit of public service. In such circumstances, accountants should think carefully before seeking creative accounting solutions to particular problems. Thus, in this case, the chief accountant should insist that the report to the National Commercial Bank is a true reflection of the current financial position, irrespective of the consequences for herself.

---The End---